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Real Estate OS

Document: Profit Distribution Mechanics — Dividend Policy in SHA **Prepared for:** Rodolphe Belin ("Rudi") — Principal Investor **Prepared by:** Zharkyn Ryspayev ("Zhan") — Founder, CEO/CTO · Dmytro Tsvyk ("Dymo") — Co-founder, Operations Principal **Date:** 2026-04-18 **Meeting:** Sunday 2026-04-19, Al Jurf **Parties to the Dividend Policy:** Zharkyn Ryspayev ("Zhan"), Dmytro Tsvyk ("Dymo"), and Rodolphe Belin ("Rudi") **Status:** Template structure — exact contractual language subject to counsel review **First distribution target:** after the first closed agency deal (expected July – August 2026) **Minimum Reserve Rule:** 3 months operating expenses retained before quarterly distribution

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Orientation

The Shareholders Agreement will codify a fixed Dividend Policy splitting Agency net profit in the ratio **70 / 10 / 10 / 10** — 70 % to the Platform Development Fund (ADGM HoldCo), and 10 % each to Rudi, Dymo, and Zhan.

The logic: Rudi holds 80 % of the Agency's equity but contractually commits 70 percentage points of every profit distribution to the Platform company. This is the **platform-financing mechanism**. Rudi still receives 10 % of every Agency profit in personal cash, separate from his Platform upside (10 % of ADGM HoldCo), plus a 1× non-participating liquidation preference at any exit.

The 70 / 10 / 10 / 10 split is **fixed in the SHA for the lifetime of the Agency, including post-Sunset**. When the Sunset Clause triggers (Rudi 80 % Agency → 10 %), the equity cap table changes to Rudi 10 % / Dymo 45 % / Zhan 45 %, but the profit distribution split does not change — the Platform continues to receive 70 % of Agency profit in perpetuity.

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1. Legal framework

1.1 Contractual basis

The Dividend Policy is set out in Schedule [X] of the Shareholders Agreement ("**SHA**"). The SHA binds the Company (Agency entity, Dubai Mainland LLC) and each Shareholder (Zhan, Dymo, Rudi). The Dividend Policy operates alongside UAE Federal Decree-Law 32/2021 (Commercial Companies Law) and the Articles of Association of the Agency LLC.

1.2 Enforceability

Under UAE law, dividend distributions must be:

- Declared from distributable reserves (accumulated profit, after operating expenses, taxes, statutory reserves, and any contractual reserves).
- Approved by the Board.
- Compliant with minimum-capital and solvency tests.

The Dividend Policy clause in the SHA contractually commits the Board to declare dividends according to the fixed 70 / 10 / 10 / 10 ratio, subject only to the operating reserve threshold. Failure by the Board to declare within the agreed timeframe is a breach of the SHA, enforceable by any Shareholder.

1.3 Governing law and disputes

Dubai law governs the Dividend Policy (as the Agency is a Dubai Mainland LLC). Disputes are resolved through the SHA dispute mechanism — ADGM arbitration, English language — except where UAE mandatory procedural law requires Dubai Courts.

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2. Calculation methodology

2.1 Definition of Distributable Net Profit

For each calendar quarter, Distributable Net Profit is calculated as:

Distributable Net Profit = Gross Commission Revenue − Direct Costs − Allocated OpEx − Corporate Tax − Statutory Reserve − Contractual Operating Reserve top-up

Where:

- **Gross Commission Revenue** — all agency commissions invoiced and received (or accrued under the Company's accounting policy) during the quarter.
- **Direct Costs** — deal-level costs directly attributable to closed transactions: Trakheesi permits, client-entertainment, external DD fees, translation, notary, courier.
- **Allocated OpEx** — pro-rata share of quarterly operating expenses: founder salaries, agent salaries, office lease, utilities, software subscriptions, accounting, legal retainer, marketing, insurance.
- **Corporate Tax** — 9 % UAE CT on taxable income above AED 375,000, provisioned quarterly. If the Company qualifies for Small Business Relief (revenue ≤ AED 3 M annualised), CT provision is zero.
- **Statutory Reserve** — 10 % of annual net profit to a non-distributable legal reserve until it equals 50 % of issued share capital (per UAE Commercial Companies Law).
- **Contractual Operating Reserve** — a rolling cash balance of at least 3 months of forecast OpEx. Year 1 target: AED 435,000 minimum.

2.2 Distribution formula (pre- and post-Sunset)

Once Distributable Net Profit is determined for the quarter, it is split as follows:

Destination	Share of Distributable Net Profit
Platform Development Fund (ADGM HoldCo)	70 %
Rudi	10 %
Dymo	10 %
Zhan	10 %
Total	100 %

This split applies **pre-Sunset and post-Sunset identically**. Sunset changes the **equity cap table** (Rudi Agency 80 % → 10 %) but does **not** change the profit-distribution split. Rudi continues to receive 10 % of Agency profits for the life of the Agency.

2.3 Worked example — single quarter with AED 2,000,000 Net Profit

Clean case — reserve already maintained, no top-up needed:

Recipient	Share	AED
Platform Development Fund	70 %	**1,400,000**
Rudi	10 %	200,000
Dymo	10 %	200,000
Zhan	10 %	200,000
Total	100 %	2,000,000

Rudi receives AED 200,000 that quarter. Distributions like this accumulate toward the AED 2 M Sunset trigger (earlier of that or 5-year cap).

2.4 Detailed walkthrough — AED 2,000,000 Gross Commission → Distributable Net Profit

Step	AED	Explanation
Gross commission revenue	2,000,000	Client payments during the quarter
Less: direct costs	100,000	~5 %
Less: allocated OpEx	435,000	3 × AED 145,000 monthly Year-1 OpEx
Pre-tax profit	**1,465,000**	
Less: Corporate Tax (9 % above AED 375 K threshold)	98,100	9 % × (1,465,000 − 375,000) = 98,100. May be AED 0 under Small Business Relief if Year-1 revenue ≤ AED 3 M
Net Profit	**1,366,900**	
Less: Statutory Reserve (pro-rated quarterly)	~10,000	
Distributable Net Profit	**1,356,900**	
Platform Development Fund (70 %)	949,830	Inter-company transfer to ADGM HoldCo
Rudi (10 %)	135,690	
Dymo (10 %)	135,690	
Zhan (10 %)	135,690	
Total distributed	**1,356,900**	√

Under Small Business Relief (Year 1 expected): CT = 0 → Distributable Net Profit ≈ AED 1,455,000 → Rudi receives AED 145,500.

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3. Inter-company flow (70 % to Platform)

The 70 % share destined for the Platform Development Fund is a transfer from the Agency to the Platform entity. The legal mechanism is one of the following, finalised by UAE tax counsel:

3.1 Option A — Inter-company Service Agreement (preferred)

Agency pays Platform a **service fee** for licensed use of the ZAAHI platform technology, brand, 3D Signature, Ambassador program, and ongoing technical support. The fee is structured as "70 % of Distributable Net Profit, payable quarterly within 15 days of Dividend Declaration Date."

Advantages: clean accounting (fee is deductible expense of Agency, taxable income of Platform); no shareholder-level tax implications; aligns with arm's-length transfer-pricing principles if documented properly.

Requirements: transfer-pricing documentation (already required under UAE CT for related-party transactions); Service Agreement signed between Agency and Platform; quarterly invoice.

3.2 Option B — Capital Contribution / Shareholder Loan

Agency transfers the 70 % share as a capital contribution or shareholder loan to the Platform. Balance-sheet transfer, not P&L expense.

Disadvantages: does not reduce Agency taxable income; complex cross-entity cap-table accounting.

Recommendation: Option A (Service Agreement) preferred. Final structure confirmed by UAE tax counsel before first distribution.

3.3 Tax implications (indicative, subject to counsel)

- **Agency (Dubai Mainland LLC):** 9 % CT on taxable income above AED 375,000 (with Small Business Relief likely applicable in Year 1). Service fee to Platform is deductible.
- **Platform (ADGM HoldCo):** If Qualifying Free Zone Person (QFZP), qualifying income at 0 %; Mainland-sourced income generally taxed at 9 % above AED 375,000.
- **VAT** — Inter-company services between related UAE entities are generally 5 % (standard rate); zero-rating possible if criteria met.

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4. Quarterly cadence

Quarter	Quarter end	Accounts prepared by	Board resolution by	Payment by
Q1 (Jan–Mar)	31 March	30 April	15 May	31 May
Q2 (Apr–Jun)	30 June	31 July	15 August	31 August
Q3 (Jul–Sep)	30 September	31 October	15 November	30 November
Q4 (Oct–Dec)	31 December	31 January	15 February	28 February

The first declaration depends on when the first agency deal closes. With June – July 2026 target for first closed deal, the first dividend event is generated in Q2 2026 or Q3 2026 and paid on the quarterly cadence thereafter.

4.1 Declaration triggers

A dividend declaration for a quarter is made if all of the following are satisfied:

- Quarter has closed and accounts finalised.
- Distributable Net Profit (per §2.1) is positive.
- Contractual Operating Reserve maintained or will be maintained after distribution.
- Statutory Reserve requirement met year-to-date.
- Board resolves to declare (simple majority).

If any trigger fails, the quarter's profit accumulates into retained earnings and becomes distributable in a later quarter.

4.2 Bookkeeping and audit

Each quarterly distribution is recorded with a Board-resolution reference; paid via the Agency's operating bank account; reflected in the quarterly management accounts sent to Rudi (within 45 days of quarter end); reviewed annually as part of the ADGM-required audit of the Platform.

5. Board approval process

5.1 Quarterly Board meeting

The Board meets at least once per quarter, within 45 days of quarter end, with the dividend declaration as a standing agenda item.

5.2 Quorum and voting

- Quorum: 2 of 3 directors (Zhan, Dymo, Rudi).
- Voting: simple majority at board level.
- Reserved matters (sale, dissolution, SHA amendment) are decided by shareholder vote — Rudi's 80 % Agency holding controls pre-Sunset; post-Sunset, Dymo + Zhan collectively hold 90 % and control.

5.3 What Rudi sees

As a Board member, Rudi receives a Board pack at least 5 business days before each meeting, including: quarter's management accounts, proposed Distributable Net Profit calculation, proposed dividend resolution. Rudi has voice and vote at the Board; final Board resolution copy delivered within 3 business days after the meeting.

5.4 Rudi's dissent

If Rudi disagrees with the calculation or distribution, he can record his dissent in the minutes, request independent accounting review at the Company's expense, or exercise information rights for deeper data. The dividend is declared and paid if a simple Board majority approves. Because Rudi holds a 1-of-3 board seat, board-level disputes can go against him; however, any Distributable Net Profit calculation that systematically diverges from the SHA formula is a contractual breach, enforceable through ADGM arbitration.

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6. Minimum reserve rule

The Company must maintain a **Contractual Operating Reserve** equal to at least three (3) months of forecast OpEx at all times, before any dividend is declared.

- Year 1: forecast OpEx ~AED 145,000/month. Reserve = AED 435,000 minimum.
- Year 2: forecast OpEx ~AED 260,000/month. Reserve = AED 780,000 minimum.

- Year 3: forecast OpEx ~AED 540,000/month. Reserve = AED 1,620,000 minimum.

This rule protects the Company from distributing in a way that threatens solvency or forces later capital calls. It protects Rudi (whose investment thesis depends on Company continuity) more than it constrains him.

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7. Dispute resolution

7.1 Disagreements about calculation

Escalation:

1. **Board discussion** — raised at or before the next Board meeting.
2. **Independent accounting review** — if unresolved, an independent qualified auditor (Big-4 or equivalent, nominated by the Board) reviews the calculation at Company expense.
3. **ADGM arbitration** — if still unresolved.

7.2 Deadlocks

If the Board deadlocks (one director absent, 1-1 vote):

1. Deferred to the next scheduled Board meeting.
2. If deadlocked at two consecutive meetings, mediation with a mutually-agreed mediator (cost shared).
3. If mediation fails, ADGM arbitration.

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8. Sunset mechanics and the Dividend Policy

The Sunset Clause (per `MOU_RUDI.md` §4) is triggered by the **earlier** of:

- **(a)** Cumulative cash distributions to Rudi from both entities reach **AED 2,000,000**; OR
- **(b) 5 years** since SAFE execution.

What changes at Sunset: Agency cap table (80 / 10 / 10 → 10 / 45 / 45).

What does NOT change at Sunset:

- Profit distribution split: 70 / 10 / 10 / 10 continues unchanged.
- Platform cap table: Zhan 80 % / Dymo 10 % / Rudi 10 % continues unchanged.

- Quarterly cadence, reserve rule, Board approval process, information rights — all continue unchanged.

What changes in governance at Sunset: Agency shareholder-vote majority passes from Rudi (80 %) to Dymo + Zhan (90 % collectively). Rudi retains one board seat for observational rights but does not control Agency reserved matters post-Sunset. Platform governance is unchanged (Zhan always controls Platform).

Tracking: The Company maintains a rolling ledger of cumulative distributions to Rudi, updated after each quarterly distribution, confirmed by the annual audit. The ledger is shared with Rudi as part of quarterly management accounts. When either trigger is met, the Agency cap table transition executes automatically at the next business day — no Board vote required, no discretion applied.

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9. Open items for UAE counsel

Items to be confirmed at SHA execution:

1. **Exact clause language** — Dividend Policy mechanics; interaction with UAE Commercial Companies Law statutory reserve.
2. **Service Agreement vs Capital Contribution** — confirmed choice between Options A and B for the 70 % inter-company flow.
3. **Transfer-pricing documentation** — arm's-length study supporting the 70 %-of-net-profit service fee.
4. **VAT treatment** — pass-through confirmation at calculation stage.
5. **Sunset ledger** — legal mechanics of the automatic Agency cap-table transition; required share-transfer documents; counsel sign-off on automatic transfer without additional Board resolution.
6. **Small Business Relief eligibility** — confirmation of Year 1 eligibility (revenue ≤ AED 3 M) and Year 2 transition planning.
7. **Cross-border considerations** — if Rudi is tax-resident outside UAE, any withholding considerations on dividends.

End of Profit Distribution Mechanics. To be reviewed with UAE counsel at SHA drafting.